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WEMA BANK PLC

Wema Bank Plc Sets the Record Straight on False and Misleading Publication Regarding Legacy Transactions Involving Defunct Gulf Bank Plc

General Comments

Wema Bank Plc has noted with concern recent media publications containing false, misleading, and wholly unsubstantiated allegations regarding the sale of certain Banana Island properties purportedly linked to the defunct Gulf Bank Plc. We unequivocally reject these claims, which are inaccurate, malicious, and clearly intended to distort the true position. For the benefit of our stakeholders—shareholders, customers, regulators, and the general public—we set out below the factual background to the transaction.

The Original Exposure and Default

In 2002, Wema Bank Plc (the Bank) made an inter-bank placement with Gulf Bank Plc in the sum of ₦4.6 billion. By August 2004, that exposure had been reduced to approximately ₦1.2 billion, after which the outstanding obligation became delinquent. In seeking to recover depositors' and shareholders' funds, Wema Bank pursued lawful recovery steps, which ultimately dovetailed into a criminal investigation of the then Managing Director of Gulf Bank Plc.

Based on the investigation of the Economic and Financial Crimes Commission (EFCC), the funds were found to have been diverted and used to acquire properties in Banana Island, Lagos, through two separate companies Bacad Finance & Investment Company Ltd (now known as Supra Commercial Trust Limited) and Euston Wenberg Eng Ltd. It is important to note that neither Bacad Finance & Investment Company Ltd (nor its successor, Supra Commercial Trust Limited) nor Euston Wenberg Eng Ltd is one and the same as Gulf Bank Plc. They are separate and distinct entities with no identity or equivalence to Gulf Bank, and the two companies are not subject to NDIC supervision.

In the course of its investigation, the EFCC conducted asset-tracing exercises that uncovered significant underlying fraud on a substantial scale. Following the EFCC's findings, Bacad Finance & Investment Company Ltd and Euston Wenberg Eng Ltd voluntarily relinquished their proprietary interests in the Banana Island properties towards the satisfaction of Gulf Bank Indebtedness to Wema Bank. That process formed part of Wema Bank's lawful recovery efforts and underscores the legitimacy of its actions against Gulf Bank.

NDIC's Acknowledgment, Admission of Indebtedness, and Payment of Shortfall.

Critically, following the liquidation of Gulf Bank, Nigeria Deposit Insurance Corporation (NDIC) admitted Gulf Bank's indebtedness to Wema Bank in two separate letters:

- A letter dated September 26, 2007, addressed to the Federal Land Registry; and
- A letter dated June 10, 2009, addressed directly to Wema Bank Plc.

These letters constitute clear and formal recognition by the NDIC of the validity of Wema Bank's claim against the defunct Gulf Bank and its interest over the property in question. Fortunately, both letters form part of the documents frontloaded by NDIC lawyer Dr. Dada Awosika SAN in court in the ongoing proceedings before Justice Allagoo of the Federal High Court Lagos.

Furthermore, after the sale of the properties, the NDIC in fact paid to Wema Bank, the shortfall of what was due to the Bank. These facts demonstrate that the NDIC was not only aware of the transaction but actively participated in settling the outstanding balance following the sale.

In light of the foregoing:

- i. the voluntary relinquishment by Bacad (now Supra Commercial Trust Limited) and Euston Wenberg (distinct entities not constituting Gulf Bank), of the properties in Banana Island for the settlement of the indebtedness of the defunct Gulf Bank
- ii. the NDIC's formal admission of Gulf Bank's indebtedness to Wema Bank via its letters of September 26, 2007 (to the Federal Land Registry) and June 10, 2009 (to Wema Bank), both of which have been frontloaded in court by NDIC itself, and the acknowledgement of the relinquishment of the Banana Island properties, and
- iii. the NDIC's own payment of the shortfall to Wema Bank,

NDIC is precluded from and cannot in good faith contest the relinquishment of those interests or the appropriateness of Wema Bank's recovery efforts.

While we acknowledge that the NDIC has recently commenced two separate actions against Wema Bank at the Federal High Court, Lagos, purportedly in its capacity as liquidator of Gulf Bank Plc pursuant to a winding-up order, those proceedings do not alter the material facts stated above. As these matters are currently before the court and therefore sub judice, Wema Bank will refrain from commenting further on issues that fall for judicial determination. The Bank is taking all necessary steps to contest the suits filed in court and will explore all legal and legitimate means to protect its rights and interests.

Conclusion

Wema Bank Plc remains steadfast in its commitment to the highest standards of corporate governance, regulatory compliance, and transparency. We reaffirm our dedication to ethical and prudent banking practices and assure our shareholders, customers, regulators, and all relevant stakeholders that the Bank will continue to act responsibly, lawfully, and in the best interests of all parties it serves. The Bank will continue to exert its rights and will not succumb to the shenanigans of unscrupulous individuals who want to reap where they did not sow.

FOR FURTHER INFORMATION:

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About WEMA Bank Plc

Wema Bank Plc (NGX: WEMABANK) is the pioneer of Africa's first fully digital bank, ALAT, and one of Nigeria's most resilient banks. With decades of experience in the business of banking, the Bank has remained innovative in delivering value to its stakeholders. Wema Bank operates a network of over 150 branches and service stations backed by a robust ICT platform. The publicly quoted Nigerian company has successfully built a legacy of trust and resilience that has won it the loyalty of its customers. The Bank is constantly introducing products and services tailored to the needs of its customers at every stage of their lives. It is a proud partner to more than one million individuals, families and businesses across Nigeria, helping them achieve their personal and financial goals.

More information can be found at <https://www.wemabank.com/about-us/>